

EMBA 60 Team B
Busy B's
Leadership Communication – Southwest Crisis

Good afternoon, I'm Kim Cordia Senior Vice President of Communications at Southwest Airlines.

Kim Cordia - SVP of Communications
Brian Morman - Chief Technology Officer
Sherley Moran - Director of Customer Relations
Felix Loc - Director of Operations

On behalf of Southwest Airlines, I want to relay our sincere and wholehearted apology to our customers, team members, and stakeholders. We have prided in our commitment to connect people to what is important in their life. We recognize that the cancelations and events over past 48 hours, have failed to live up to that commitment and broken that trust. We had a collision of weather, employee illness, and technology issues.

We deeply regret the impact this has had on our customers, team members, and are working diligently to address this situation. What we know now is that flights will not resume until December 31.

In the meantime, we have implemented ways to alleviate the travel schedules of our customers to get them to their destination. First, we will be reimbursing the current canceled travel and offering vouchers for future flights. Second, due to the affect that this has on separate travel plans, we are diligently working and collaborating with other travel partners to meet those obligations. We will be offering vouchers for food, hotels, and car rental for those travelers stranded and effected by these cancelations.

We understand that this is still insufficient and that many people have canceled full travel plans.

We are committed to transparency and will continue to update the public as latest information becomes available. Our top priority is safety, security and trust of our customers, employees, and shareholders.

Ten Questions & Answers

- 1) How will customers be able to contact Southwest airlines to assist in rescheduling canceled or future flights on or before 12/31?

Southwest airlines airport gate agents, Customer Service Call Center 1-800-I-FLY-SWA (1-800-435-9792), Southwest Website: www.southwestairlines.com; Email or Chat

- 2) How will the media be updated with the latest information?
Social Media, Website

- 3) Did you have forewarning that the technical issues would occur?

Southwest remains committed to leading as a cutting-edge airline when it comes to the technologies we use. We could not have anticipated the technical issues we

faced today. This combination of illness, weather, and technology problems is unprecedented in our industry, but we will learn from this and get back to serving our customers the way Southwest has long been applauded for.

- 4) Why were there large numbers of southwest employee call ins, particularly pilots?
As for travelers, this time of year is when many of our pilots are choosing to take time off with their families. The absentee rate is not unduly high for this time of year. We are pleased to be able to provide time off for our hardworking employees.
- 5) Why was more not done to prevent this from happening?
Our mission at Southwest is to provide low cost high quality travel to connect our customers to what is important to them. We will continue to work wholeheartedly to provide that experience again in the future.
- 6) When will travelers be able to trust Southwest again with their bookings for their most important events?
Our pausing of bookings is intended to help retain that trust while we get back to operational excellence. Our customers can trust Southwest will deliver on its promises and do all we can to provide the best experience we can for those we have let down.
- 7) How will Southwest plan to meet its commitments to shareholders despite the loss of revenue from a high-density travel time of year?
Our primary focus right now is on making things right for our customers who are missing time with their families. One part of making that right includes our return to operational excellence that has served us well for decades. We will come back stronger than ever.
- 8) What can Southwest do for travelers who haven't been able to rebook and do not have other airlines who can help them reach their families?
We are invested in serving our customers and helping to connect them to what matters to them. In an unprecedented time that includes working in new ways. We have begun touching base with strategic partners who may have alternate means, but we cannot share full details now. We encourage customers to pursue whatever booking options they can find on their own while we work to produce options to provide support as well.
- 9) What will the southwest take away from this crisis and how will you prevent this from happening in the future?
 - Southwest is constantly running tests about our operations and systems. We will expand the scope of our crisis planning efforts to be sure we are ready to face the next new challenge our industry will inevitably face. We will take a hard look at the systems that allowed for this to happen and make changes to protect our customers and employees alike.
- 10) How can employees know where to report while the system is down? Has Southwest implemented a short-term fix?

Southwest has implemented short-term fixes to communicate with our employees using other means of communication. The process is slower and will require some patience while our standard means of planning are reset and improved.